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Agent Selection & Commission Negotiation Checklist — Victoria

Choosing the right agent, and understanding what you're actually agreeing to.

Correct as at July 2026. General information only, not legal advice.

Section 1 — Shortlisting Agents

- [ ] **Interview at least 3 agents** before committing — compare their recent comparable sales in your specific suburb, not just their general reputation.
- [ ] **Ask for a genuine appraisal, not just the highest number.** An agent quoting an unrealistically high price to win your listing (then negotiating you down later) is a well-known tactic — cross-check their appraisal against actual recent comparable sales yourself.
- [ ] **Ask how they'll market the property** — photography, floor plans, online listing portals, print, and social media — and get this in writing as part of your agreement, not just verbally promised.
- [ ] **Check their recent track record specifically for your property type** — an agent who mainly sells apartments may not be the strongest choice for a family house, and vice versa.
- [ ] **Ask directly about any referral relationships** — if they recommend a conveyancer, stylist, or other service provider, ask whether they receive a referral fee or commission for that recommendation. Under Victorian law, agents can be paid referral commissions by third parties, but must disclose this in writing where it creates a potential conflict of interest.

Section 2 — Understanding the Agency Agreement

- [ ] **Understand this is a legally binding contract** — read every clause, not just the commission rate, before signing.
- [ ] **Check the commission structure** — flat percentage, tiered/incentive-based (higher percentage above an agreed price), or flat fee. Each creates different incentives for the agent, and it's worth understanding which structure genuinely aligns with getting you the best outcome.
- [ ] **Confirm the commission rate is negotiable** — commission rates in Victoria are not fixed or regulated at a set percentage; they're a matter of negotiation between you and the agent.
- [ ] **Clarify exclusive vs. open listing terms** — an exclusive agency agreement typically locks you to one agent for a set period; understand exactly how long that period runs and what happens if you're unhappy with performance during it.
- [ ] **Check marketing cost responsibility** — confirm upfront whether marketing costs (photography, advertising, signage) are included in the commission or charged separately, and get an estimate in writing.
- [ ] **Understand the rebate rule.** Under Victorian law (Estate Agents Act 1980, rebate provisions), an agent cannot keep any rebate, discount or benefit they receive in connection with *your* expenses — such benefits must be passed to you. If an agent offers you a "discount" on marketing costs sourced from a supplier rebate, that discount is meant to flow to you, not be retained by the agent as an undisclosed benefit.

Section 3 — Choosing Your Method of Sale

- [ ] **Compare auction vs. private sale vs. expression of interest** for your specific property and market conditions — ask your agent to justify their recommendation with genuine reasoning, not just "that's what we always do."
- [ ] **If going to auction, understand there is no cooling-off period for the buyer** once the hammer falls — this affects buyer psychology and negotiation dynamics, which your agent should be able to explain clearly.
- [ ] **Understand the Statement of Information obligation.** Your agent must prepare and display a Statement of Information for your property (indicative price range plus comparable sales) — this is a legal requirement, not optional marketing material, and applies to all advertised residential sales including auctions.
- [ ] **Ask about reserve price strategy and disclosure timing** if going to auction — current rules aim for reserve price transparency to buyers within a set period before the auction; confirm the current specific requirement with your agent or conveyancer.

Section 4 — Before You Sign

- [ ] **Have a friend, family member, or solicitor review the agency agreement** if you're at all uncertain — it's a genuine legal contract with financial consequences.
- [ ] **Clarify the termination process** — what happens if you want to change agents partway through the listing period, and any costs involved in doing so.
- [ ] **Confirm who prepares your Section 32 (Vendor's Statement)** — this is prepared by your solicitor or licensed conveyancer, not the real estate agent, so make sure this is separately organised before your property goes to market.
- [ ] **Ask for references from recent vendors**, not just buyer testimonials — a seller's experience with an agent is a different (and more relevant) data point than a buyer's.

Quick Reference — Key Points on VIC Agent Agreements

ITEM	DETAIL
Commission rates	Not fixed/regulated — negotiable between vendor and agent
Referral fee disclosure	Must be disclosed in writing where a conflict of interest could arise
Rebates on vendor expenses	Must be passed to the vendor, not retained by the agent
Statement of Information	Legally required for every advertised residential sale

Section 32 preparation	Prepared by your solicitor/conveyancer, not the agent

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